



October 26, 2021

VIA E-MAIL ONLY

Re: **Notices Regarding The Source Hotel, Donald Chae and Min Chae
Beach Orangethorpe Hotel, LLC (the “Company”)**

Dear Investor:

Please be advised of the following significant events that recently occurred regarding The Source Hotel, Donald Chae and Min Chae, which affect the Company and its members.

First, please be advised that, on October 1, 2021, the United States Bankruptcy Court denied the debtor The Source Hotel, LLC’s (“TSH”) request to authorize the sale of the Hotel at a Court-approved auction when the Court disqualified two interested parties from participating in the auction. This resulted in the secured creditor Shady Bird Lending, LLC (“Shady Bird”) obtaining relief from stay and foreclosing on TSH’s interest in the subject 99-year ground lease for the real property on which the Hotel is being constructed (the “Property”). On October 4, 2021, the foreclosure sale was held by the trustee, where Shady Bird ended up purchasing the Property.

Second, please be advised that, on October 3, 2021, Donald Chae, the co-owner of M&D Regional Center, LLC’s Manager, M + D Properties (“M+D”), filed for Chapter 11 bankruptcy in the United States Bankruptcy Court, Central District of California, under Case No. 2:21-bk-17696.

Finally, please be advised that Min Chae, the co-owner of M+D, passed away on September 18, 2021.

Given these developments, we are currently assessing all options. Please feel free to contact the Regional Center if you have any questions.

Very truly yours,

M&D Regional Center, LLC
a California limited liability company